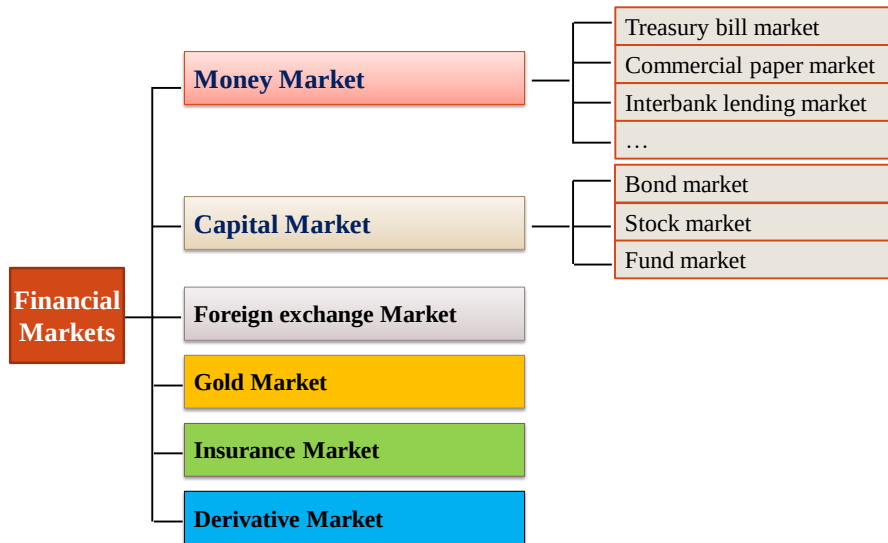

Introduction to Chinese Financial System

LECTURE 6 BOND MARKET

CAPITAL MARKET

Financial markets



Capital markets

- Capital market refers to the financial market with medium and long-term investment, the maturity of financing instruments is more than one year.
 - Main functions: transform savings into investment and promote the formation of physical capital.
 - Main instruments: stocks, bonds, investment funds.
 - Composition: medium and long term bank credit market, stock market, bond market, investment fund market.

Differences between money and capital markets

Money markets

- Money markets focus on financial instruments that can be quickly converted into narrow money (M0 or M1).
- Financing activities with a maturity of less than one year, and usually only form the working capital of the enterprise, which is used to maintain the existing operations and contribute little to long term capital investment.
- Money market instruments: government short-term bonds, central bank short-term bonds, commercial papers, interbank lending, bond repurchases, money market mutual funds, etc.

Capital markets

- Capital markets focus on financial instruments that are capable of forming the capital of a firm.
- Maturity is more than one year and the fund-raisers use the raised funds to carry out activities such as building plants, purchasing machinery and equipment, updating technology and so on to form fixed assets, expand production capacity and improve economic efficiency.
- Capital market instruments: medium and long term bonds, stocks, investment funds, etc.

Main composition of the capital market

- Bond market
- Stock market
- Investment funds

BOND MARKET

Definition of a bond

- Definition: A bond is a debt certificate issued by a debtor to raise funds, promising the creditor to pay interest at an agreed rate and date, and to repay the principal on a specified date.
 - Debtor: the issuer of bond, the borrower.
 - Creditor: the investor of bond. To the creditor, the bond is a certificate of claim.

The elements of a bond

- Face value (or “par value”)
 - the debtor's basis for repayment of principal and interest.
- Interest rate
 - represents the debtor's remuneration to the creditor for temporarily transferring the right to use funds.
- Maturity
 - The term of a bond indicates the duration of the relationship between the creditor's rights and the debt. It could be short term, medium term or long term.
- Price
 - including issue price and transaction price.

22 Treasury bond(13) 010213

Listing code	010213
Listing name	22 T-bond(13)
Full name of the debt	22 accounting type (13 issues) Treasury bonds
Actual issue	24 billion yuan
Issue price	100 yuan
Method of distribution	Bookkeeping style
Term	15 years
Due date	2037-09-20
Coupon rate	2.6%
The way interest is paid on Treasury bonds	Interest shall be paid semi-annually
Date of interest accruing	2022-09-20
Date of listing	2022-10-09

21 China Mobile 120101

Name of bond	21 China Mobile
Deadline	10 years
Current years	years
Face value	100 yuan
Circulation	5 billion
Interest rate	3.73%
Types of bonds issued	
Bond issuer	Guangdong Mobile Communications Co. LTD
Lead underwriter	China International Capital Corporation Limited
Credit Rating:	AAA
The way Treasury bonds are paid	Interest is paid annually
Listing date	2021-10-23
Launch date	2021-06-18
Release Closing Date	
Delisting date	
Expiration date	2031-06-17
Due principal and interest	

Types of bonds in China

- According to the issuing subject
- (1) Government bonds
 - Central government bonds – **Treasury bond** 国债: A way for a government to raise funds with national credit. According to the purpose of issuing bonds, they can be divided into deficit bonds, construction bonds, war bonds and special bonds.
 - Features: high credit rating, no credit risk; It can be exempted from paying local government tax.
 - Local government bonds – **Municipal bonds** 地方政府债券: bonds issued by local governments to raise funds for the development of local economy and the construction of public utilities.
 - Features: the credit is close to the Treasury bond, the yield is usually slightly higher than the T-bond; Can be exempted from local income tax, higher yield; Liquidity is not as good as T-bond.
 - Government agency bonds: Bonds issued by government-sponsored enterprises (GSEs) or government agencies, mainly used to develop the undertakings of various agencies and public enterprises.
 - Features: Repayment of principal and interest is generally guaranteed by the government, high credit; Because of the issuance of scattered, its liquidity is not strong.

Types of bonds in China

- According to the issuing subject
- (2) Corporate bonds (including financial bonds)
 - Corporate bonds: debt certificates issued by enterprises to raise funds. The issuers are generally first-class large enterprises.
 - **Corporate bonds** 公司债: Bonds issued by a joint stock limited company or limited liability company
 - **Enterprise bonds** 企业债: Bonds issued by institutions affiliated to central government departments, wholly state-owned enterprises or state-controlled enterprises.
 - ✓ Features: The interest rate is generally higher than other bonds, but the risk is also higher.
 - Convertible corporate bonds 可转债: bonds that are converted into common shares of a company within a certain period of time according to certain conditions and proportions.
 - ✓ Features: The holder may not require the issuer to pay the principal at maturity; Low cost of issuance.
 - **Financial bonds** 金融债: debentures issued by large banks or first-class non-bank financial institutions.
 - ✓ Features: high credit, large issuance, active trading, high yield, generally medium- and long-term bonds.

Types of bonds in China

- According to the way of interest payment
- (1) Interest-bearing bonds 有息债券: bonds with interest payment coupons, which are certificates for receiving interest on a regular basis.
 - ✓ Features: Interest is paid in installments at a predetermined time limit, rather than at a time when it is due. Interest is generally paid once a year.
- (2) Discount bonds 无息债券: bonds that are issued at a discount rate below par value at the time of issuance and the principal is repaid at par value at maturity.
 - ✓ Features: the difference between the issue price and the repayment price is the interest; Bonds with short term maturities are generally issued in this way.
- (3) Fixed rate bonds and floating rate bonds
 - Fixed rate bond: a bond in which the interest rate is fixed during the term of the bond, the holder of the bond will recover the principal at maturity, and a fixed interest will be received periodically;
 - Floating rate bond: a bond in which its interest is based on a predetermined market interest rate as the reference standard, the interest rate floats with the change of the reference interest rate. Therefore, the issuer and investors can effectively avoid the risk of interest rate fluctuations.

Credit rating of bonds

- Credit rating refers to the comprehensive evaluation of the ability and trustworthiness of an enterprise to repay the principal and interest as agreed by a professional credit rating agency according to a certain index system.
- Credit rating is a qualitative judgment focusing on the reliability and risk of the repayment of principal and interest of bonds. It is expressed by simple symbols.
- ✓ Purpose: to express the credit and solvency of the bond issuer with simple and easy-to-understand symbols, and publish to investors, in order to reduce the credit cost of market participants and protect the interests of investors.

Main content of bond credit rating

- (1) Solvency of the issuer
 - examining whether the issuer can repay the principal and interest and dividends on schedule.
- (2) Credit standing of the issuer
 - investigating the issuer's reputation in the financial market, previous debt repayment records, whether there is default.
- (3) Risks undertaken by investors
 - analyzing the possibility of bankruptcy of the issuing company, and predict the degree of legal protection and investment compensation that creditors may get once the company goes bankrupt.
- ✓ Note: bond rating does not evaluate the overall strength of bond issuing enterprises; bond rating is not an value assessment of a security for investors,nor is it a recommendation to bond investors to buy or hold a bond.

Credit rating codes and classes

- The setting of bond credit rating is generally “two categories and nine grades”.

Moody's	Standard & Poor's	Basis of division
Investment Grade		
Aaa	AAA	Highest quality, lowest risk
Aa	AA	High quality, but slightly weaker financials
A	A	Strong financial ability, but affected
Baa	BBB	Strong current financial ability and lack of good investment characteristics
Speculative Grade		
Ba	BB	It has speculative characteristics and can pay interest in the current period
B	B	High speculation and uncertain repayment of principal and interest
Caa —C	CCC—C	Highly speculative with high default risk
D	D	Already in default

Bonds with a credit rating below Baa3 or BBB- are called Junk Bonds.

Junk Bonds

Credit rating agency

- In order to ensure the fairness and authenticity of securities credit rating, rating agencies are generally independent and non-state-owned.
- The most influential private credit rating agencies in the world
 - Moody's** Investment Service (Moody's) : founded in 1900, mainly engaged in credit rating objects: industrial enterprises, public utilities, financial institutions, international organizations, government agencies that issue a variety of long-term and short-term bonds, etc.
 - Standard & Poor's** (S&P) : formed by the merger of Standard & Poor's (1922) and Standard (1923), the main rating objects: commercial paper, corporate bonds, municipal bonds, etc.
 - Fitch** Ratings: the only European international rating agency, headquartered in New York and London. Credit rating targets include companies, governments, financial institutions, securities, bonds, etc.
- ✓ Standard & Poor's focuses on the corporate rating side, Moody's on the institutional financing side, and Fitch focuses more on the rating of financial institutions.

China's top five credit rating agencies

As of 2024Q2, there are 16 domestic credit rating agencies in the bond market, with the top five listed below.

- **1. Zhongxin中诚信- Zhongxin International Credit Rating Co., LTD**
 - A Sino-foreign joint venture with the qualifications of the National Development and Reform Commission, China Securities Regulatory Commission and the People's Bank of China. It is the pioneer of China's local rating industry and leads the development of China's credit rating industry. Its credit rating business includes convertible bond rating, insurance company rating and corporate governance rating.
- **2. United Credit联合资信-- United Credit Rating Co., LTD**
 - A Sino-foreign joint venture, the shareholders are United Credit Management Co., LTD., a state-controlled national professional information service agency, and Fitch Credit Rating Co., LTD., a world-renowned international credit rating agency.
- **3. Dagong International大公国际- Dagong International Credit Rating Co., LTD**
 - Established in 1994 with the approval of the People's Bank of China and the State Economic and Trade Commission of China, its subsidiary company also obtained the Class 10 business license to operate credit rating business approved by the Hong Kong Securities and Futures Commission in 2014.
- **4. Oriental Jincheng东方金诚- Oriental Jincheng International Credit Rating Co., LTD**
 - A national professional credit rating agency controlled by China Orient Asset Management Co., Ltd.. It has the credit rating qualification of the securities market and interbank bond market recognized by the China Securities Regulatory Commission, the People's Bank of China and the China Development and Reform Commission.
- **5. New Century新世纪-- Shanghai New Century Credit Rating and Investment Service Co., LTD**
 - Founded in July 1992, it is one of the first rating agencies to be recognized by the People's Bank of China, the National Development and Reform Commission, the China Securities Regulatory Commission and the China Banking and Insurance Regulatory Commission and other regulatory authorities, with all rating qualifications. Its bond rating business covers all provinces and cities in mainland China and Hong Kong, and its sovereign rating business covers countries along the "Belt and Road" and more than 10 other countries and regions.

Bond market

- The bond market (also debt market or credit market) is a financial market where participants can issue new debt, known as the primary market, or buy and sell debt securities, known as the secondary market.
- Debt security is usually in the form of bonds, but it may include notes, bills, and so on.
- Bonds and bank loans form what is known as the “credit market”.
- ✓ The global credit market in aggregate is about three times the size of the global equity market. In China, it is about 1.5 times.
- ✓ China's bond market is the second largest bond market on the world, the first one is the U.S. Bond market.

Participants in China's bond market

- The issuers of bonds:
 - The Ministry of Finance, the People's Bank of China, local governments, policy banks, commercial banks, financial companies and other non-bank financial institutions, securities companies, non-financial enterprises or companies, etc.
- The investors of the bonds:
 - The People's Bank of China, special institutions such as policy banks, commercial banks, credit cooperatives, postal savings banks, non-bank financial institutions, securities companies, insurance companies, funds (including social security funds), non-financial institutions and other institutional investors and individual investors.

Bond products in China's bond market

- Government bonds (Treasury bonds, local government bonds)
- Central bank bonds (i.e., central bank bills)
- Financial bonds (policy-based financial bonds, commercial bank bonds, special financial bonds, non-bank financial institution bonds, securities company bonds, short-term financing bills of securities companies, etc.)
- Corporate bonds, short-term financing bills, medium-term notes
- Asset-backed securities, international agency bonds, convertible bonds
- Government-backed agency bonds (currently including bonds issued by Huijin Corporation) and government-backed bonds (bonds issued by the Ministry of Railways since 2011), etc.

The primary market

- To issue bonds, bond issuer needs to find one or more underwriters who are responsible for the whole process of issuing bonds.
- Underwriters according to the process of work:
 - Contracting (承揽) is responsible for finding and getting the customer, the customer is the issuer, get the underwriting fee;
 - Undertaking (承做) is responsible for the design of bond product elements, as well as the preparation of a full set of relevant issuance materials;
 - Underwriting (承销) is responsible for selling bonds to institutional investors.

The ways of bond issuance

- (1) Private offering.
 - Also known as "private placement," it is a method of issuing bonds to commercial banks, investment funds, as well as specific institutions such as pension funds, unemployment insurance funds, other social security funds, and social endowment funds. It is a direct issue.
- (2) Offtake underwriting (Syndication).
 - It refers to the way in which an underwriting syndicate composed of commercial banks, securities companies and other large financial institutions signs an underpurchase and underwriting contract with the issuer to issue bonds.
- (3) Issuing bonds by bidding (Auction).
 - The practice of determining bond underwriters and terms of issue by means of tender and bid.

Issue by tender (and bid)

- Issue by tender is the most marketized way of issuance.
- The basic principle of tender issuance
 - Bond issuers announce the information of the bond to investors, and then let the investors issue a bid, proposing the quantity and price they want to subscribe.
 - The price of the bonds and whether the bidder wins the bid or not will be determined according to the bidder's bid.
- Classification of tender issuance
 - According to the different subject matter, price bidding and yield (interest rate) bidding;
 - According to the different auction rules, Dutch auction (winning the bid at a single price) and American auction (winning the bid at a variety of prices).

The price discovery process of bidding

- 1) Dutch auction tender
 - Dutch winning bid, also known as “single price winning bid”, means that after bidding, the issuing system will sort each underwriter's bidding price in a certain order (interest rate, spread bidding from low to high order, price bidding from high to low order), and the bidding amount will be added up until the predetermined amount of issuance is met. The price point at this time is called the marginal price point, and the winning underwriters all win the bid at this price or interest rate.
- 2) American auction tender
 - American winning bid, means that after the bidding, the issuance system will sort the effective bid price of each underwriter in a certain order (from low to high for interest rate and spread bidding, and from high to low for price bidding) until the predetermined issue amount is raised. All valid bids within this price will be won by each underwriter's own bid. The weighted average price of all the winning bid prices and winning bids is the coupon price or coupon rate of this issue.

Brief history of Chinese T-bonds issuance

- In 1950, China issued 148 million people's convertible bonds, which is the origin of new China's government bonds.
- From 1954 to 1958, which is the first Five-Year Plan period, a total of 3 billion yuan of national economic construction bonds were issued.
- From 1958, the central government had stopped issuing new government bonds. (But local governments were allowed to issue bonds as needed. In 1962, local government issuance also ended.)
- From 1968 to 1980, China had no domestic debt or external debt.
- **In 1981, the issuance of government bonds was resumed.** More than 4.8 billion yuan of Treasury bonds were issued in 1981.
- In 1991, Treasury bonds were underbought and underwritten, marking the establishment of the primary market.
- In 1996, Treasury bonds were issued through bidding, marking the realization of market-oriented issuance.

Evolution of China's T-bond issuance methods

- From 1981 to 1990, mainly was an **administrative apportionment**/distribution method.
 - The interest rate, face value and issue price of T-bonds were determined by The State Council, and bonds were apportioned and issued through administrative distribution. They were distributed according to the GDP and per capita income of each province, and were mainly sold to individuals of the working class.
- From 1991 to 1994, mainly a way of **underpurchase and underwriting**.
 - In 1991, the issuance of T-bond transitioned to the way of underpurchase and underwriting, that is, from direct issuance to individuals to direct issuance to institutions (primary dealers), and then institutional investors distributed to the investors. That is from retail to wholesale market. **It was the first step of market-oriented reform.**
 - In 1994, the Ministry of Finance began to sell bonds to individual investors through the banking system in a form of Treasury certificates of deposit (TCD). TCD are not tradable on the market, but can be redeemed at the bank counter. This issuance method is called “counter sales”.
- From 1995, China began to adopt completely market-oriented “**tender issuance**”(public bidding).
- ✓ At present, the issuance of certificate Treasury bonds is completely in the way of underpurchase and underwriting. Book-keeping Treasury bonds are issued entirely by public bidding.

Year 1996

- Year 1996 was a year of great significance in the history of China's Treasury bond market, which basically realized the goal of "market-oriented issuance, diversified varieties, paperless bond and computerized transaction" of government bond.
- In 1996, China started to use computer system to carry out paperless bidding and issuance.
- In January 1996, the first formal bidding and issuance of Treasury bonds was made in Shenzhen Stock Exchange. The bidding objects were one-year discounted Treasury bill and 1996 book-keeping (phase I) Treasury bonds.
- ✓ **It marked the official beginning of the marketization of T-bond issuance.**

Bidding methods of Chinese T-bonds issuance

So far, China has adopted six bidding methods to issue Treasury bonds.

- **(1) Price based Dutch auction**, the lowest bidding price of all bidders until the issue amount is raised is taken as the final bidding price, and the bidding price of all bidders is the same single price.
- **(2) Price based American auction**, the bidding price of each winning bidder until the issue amount is fully raised is taken as the final bid price of each bidder, and the bidding price of each winning bidder is different.
- **(3) Payment period based Dutch auction**, the latest payment date of the winning bidder until the issue amount is raised shall be the final payment date of all winning bidders, and the payment dates of all winning bidders are the same.
- **(4) Payment period based American auction**, the payment date of each winning bidder until the issue amount is fully raised shall be the final payment date of the winning bidder. The payment date of each winning bidders is different.
- **(5) Yield based Dutch auction**, the highest rate of return of the winning bidder until the issue amount is raised is taken as the final rate of return of all the winning bidders, and the yield of all the winning bidders is the same.
- **(6) Yield based American auction**, the yield at each price of the winning bidder until the issue amount is fully raised is taken as the final yield of the winning bidder, and the yield of each winning bidder is different.

Bidding methods of Chinese T-bonds issuance

- In August 1995, the Ministry of Finance adopted the public bidding for the first time with the **payment period** as the target for the issuance of one-year book-entry Treasury bonds.
 - In January 1996, the Ministry of Finance adopted the **price-oriented** bidding method for the first time in the issuance of the 1996 book-entry phase-1 Treasury bonds.
 - In June 1996, the Ministry of Finance changed the subject matter from price to **yield** in the issuance of 1996 book-entry phase-5 Treasury bonds.
- ✓ **Determining T-bond price or yield by the underwriters through bidding in 1996, marked as the real realization of the marketization of the interest rate of government bond issuance!**

The issuance of corporate bonds in China

- Basic issuance conditions for enterprise bonds
 - According to the Regulations on the Administration of Enterprise Bonds: (1)The enterprise size shall meet the requirements; (2) The financial accounting system of the enterprise shall meet the requirements; (3) it has solvency; (4) the enterprise has been profitable for 3 consecutive years before issuing corporate bonds; (5) the total face value of corporate bonds issued by the enterprise shall not exceed the net value of its own assets; (6) The use of the funds raised shall comply with the national industrial policy.
- Issuance conditions for corporate bonds
 - According to the Company Law of China: (1)The net assets of the joint stock limited company shall not be less than 30 million yuan, and the net assets of the limited liability company shall not be less than 60 million yuan; (2) The accumulative total amount of bonds shall not exceed 40% of the company's net assets; (3) The average distributable profit of the last three years is enough to pay the interest of the company's bonds for one year; (4) The capital raised is invested in accordance with the national industrial policy; (5) The interest rate of the bonds shall not exceed the interest rate set by The State Council; (6)other conditions by State Council.
- Circumstances in which it shall not reissue bonds
 - According to the Company Law of China: (1) The bonds issued by the company in the previous time have not been fully raised; (2)The company has defaulted or delayed payment of principal and interest on the bonds or other debts, and it is still in a continuing state.

Change of enterprise bond issuance review

- According to the "Plan for the Reform of Party and State Institutions" issued by the Communist Party of China Central Committee and the State Council **in March 2023**, the enterprise bond issuance review responsibilities of the National Development and Reform Commission would be transferred to the China Securities Regulatory Commission (CSRC), and **the CSRC would be uniformly responsible** for the issuance review work of corporate (enterprise) bonds.
- Starting from October 23, 2023, the Shanghai Stock Exchange, the Shenzhen Stock Exchange, and the Beijing Stock Exchange began to accept enterprise bond applications, and the enterprise bond issuance registration was officially under the unified responsibility of the CSRC.

The circulation market of bonds

- The bond circulation market, also known as the secondary bond market, refers to the market in which issued bonds are traded and transferred.
- Through the bond circulation market, investors can transfer creditor's rights and realize the bond return.
- Circulation market:
 - Floor trading: Trading on a stock exchange
 - Over the counter: Transactions that take place outside a stock exchange

"Floor" - a stock exchange

- A stock exchange is a place where securities are bought and sold, such as the Shanghai Stock Exchange and Shenzhen Stock Exchange in China.
 - As the organizer of bond trading, the exchange itself does not participate in the bond trading and price decision, but only creates conditions for the bond buyers and sellers, provides services, and carries out supervision.
 - The market formed by buying and selling bonds in the stock exchange is the “floor trading market”(场内交易市场).
- The over-the-counter market refers to the market where securities are traded outside the stock exchange.(场外交易市场)
- ✓ The organization form of the exchange market is a more standardized form of the bond circulation market.

Types of bond circulation markets

- (1) According to the types of bonds traded
 - Government bond circulation market
 - Corporate bond circulation market
 - Convertible bond circulation market, etc.
- ✓ In China, government bonds dominate the bond circulation market, while financial bonds and corporate bonds account only for a small proportion.
 - By 2024Q2, the outstanding bond balance in China’s bond market was **171.3 trillion yuan**.
 - Among the bond varieties in China, **government bonds and central bank bills account for almost 50%**, policy-based financial bonds account for 24%, and commercial bank bonds and corporate bonds account for about 26%.

Types of bond circulation markets

- (2) According to the methods of transaction
 - **Spot transaction:** refers to the transaction between two parties in the bond market at the agreed price, buy and sell a certain number of bonds, and handle the bond delivery procedures at the specified settlement time.
 - **Repo transaction:** In the case of a repo, a dealer sells government securities to investors, usually on an overnight basis, and buys them back the following day at a slightly higher price.
 - **Futures transaction:** An agreement between two parties to buy or sell the underlying bond at an agreed price and quantity on a certain date in the future.
 - The Shanghai Stock Exchange first launched Treasury bond forward contracts in December 1992 .
 - The Shenzhen Stock Exchange started trading Treasury bond futures in September 1994.
 - In May 1995, the Treasury bond futures market was closed due to the "327" incident of Treasury bonds.
 - In 2005, forward trading was resumed and is currently only available in the interbank bond market.

Types of bond circulation markets

- (3) According to the form of market organization
 - Floor trading market (exchange market);
 - It opens to both institutional and individual investors.
 - It is a mixture of wholesale and retail markets.
 - OTC market (interbank bond market, commercial bank counter market).
 - The OTC market takes the interbank bond market as the core, and includes commercial banks, insurance companies, securities companies, securities investment funds and other financial institutions as well as other non-financial institutions. It is a wholesale market.
 - The OTC market also includes the over-the-counter market of commercial banks, which is mainly for enterprises and individual users. The commercial bank counter market is an extension of the interbank market, and its participants are limited to individual investors. It is a retail market.

Development of China's bond trading market

- The modern Chinese bond trading market has gone through three stages of development since 1981.
 - (0) No trading market (1981-1987)
 - (1) An immature over-the-counter bond market (1988-1993)
 - represented by the bank-counter market of physical bonds.
 - (2) A floor bond market (1994-1996)
 - represented by the Shanghai Stock Exchange.
 - (3) A mature over-the-counter bond market (since 1997)
 - represented by the interbank bond market.

Development of China's bond trading market

(1) The dominant period of physical bond bank counter market (1988-1993)

- China resumed issuing government bond in 1981.
- From 1981 to 1988, it experienced a seven-year history of no trading market.
- **In 1988**, when the Ministry of Finance carried out the pilot reform of T-bond circulation and transfer in 61 cities across the country. This was the over-the-counter trading of bonds in bank counters and the **official beginning of China's secondary market for bonds**.
- In December 1990, the Shanghai Stock Exchange was established, which began to accept the custody of physical bonds and conduct book-keeping bond trading after opening an account on the exchange. However, the trading volume of the exchange was very small until 1994.
 - The main feature of the bond market at that time was that bearer real bonds did not have a unified custodian institution, but were issued and then dispersed in custody of the agent custodian institution. The transaction could only be carried out in the location of the agent custodian institution, and could not be traded across regions.
- ✓ **Tips:** After 1994, it was quite common for institutions to over-issue and **short sell** Treasury bonds in the form of proxy depository orders, which caused huge market risks. The OTC bond market was finally closed in 1995 due to the false mortgage of Treasury bonds.

Development of China's bond trading market

(2) The dominant period of the exchange bond market (1994-1996)

- In 1994, the Ministry of Finance issued 102.8 billion yuan of T-bonds, nearly three times more than the previous year, which also promoted the active trading of exchange bonds.
- Also in 1994, the exchange opened up the trading of Treasury bond futures. The spot trading of bonds in the exchange bond market began to expand significantly.
- In May 1995, however, the Treasury bond futures market was closed due to the "327 incident", and the trading suddenly shrank.
- **In August 1995, the government officially stopped all OTC bond markets**, and the stock exchange became the only legal bond market in China.
- In 1995, the Ministry of Finance only issued 11.7 billion yuan of book-keeping Treasury bonds on a pilot basis. In the same year, the stock exchange issued six issues totaling 111.67 billion yuan of book-keeping Treasury bonds, accounting for 52.5% of the total issuance of Treasury bonds that year.
- In 1996, the bond trading volume of the Shanghai and Shenzhen Stock exchanges increased by nearly 10 times compared with that of 1995, among which the Shanghai Stock Exchange accounted for more than 95% of the total trading volume.

"327 Incident"

- 327 is the code name of the Treasury bond futures contract, which corresponds to the 3-year Treasury bonds issued in 1992 and due in June 1995. The total amount of the bonds issued is 24 billion yuan, and the redemption method is 8% coupon plus discount.
- On February 23, 1995, Shanghai Wanguo Securities Company, the main short side, issued 10.56 million sell orders in the last 8 minutes, with a face value of **211.2 billion yuan**, while the total amount of 327 Treasury bonds was **only 24 billion yuan**, pushing the price of "327" contract from 151.30 to 147.50 yuan, which was confirmed as malicious violation. Later, the Treasury bond futures died due to the "327 Treasury Bond incident". The Financial Times called it "the darkest day in the history of Chinese securities".
- ✓ **A bitter price**
 - After the incident, on April 25 1995, Wanguo held a board meeting and Chairman Xu Qingxiong and President Guan Jinsheng both resigned. In January 1997, Guan Jinsheng was sentenced to 17 years in prison by the Shanghai High Court.
 - On September 15 1995, Wei Wenyuan, the first general manager of the Shanghai Stock Exchange, also announced his resignation and left the securities market.
 - In April 1996, Wanguo merged with Shenyin Securities Co., LTD., its strongest competitor in the Shanghai market.
 - On July 17 1996, Shenyin Wanguo Investment Company was listed and established.

Development of China's bond trading market

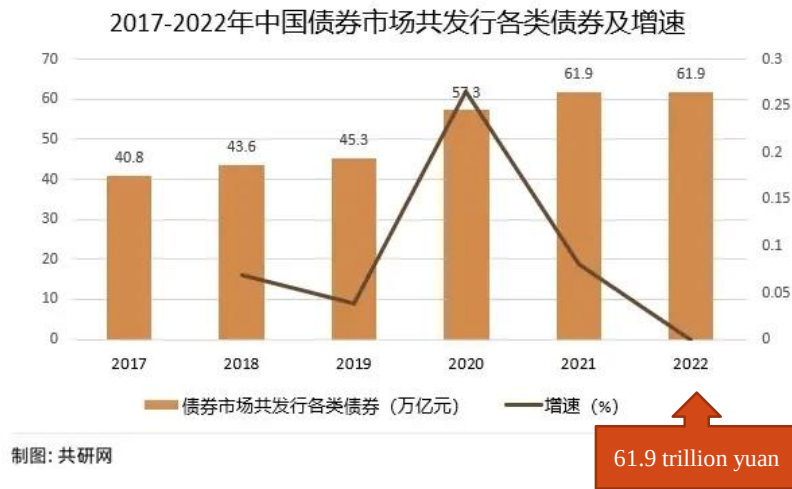
(3) Rise of OTC market (since 1997)

- In 1997, due to the demand of financial system reform and some external events, China's over-the-counter bond market gained a historical opportunity, **emerged as the interbank bond market**.
- According to the situation at that time, the whole society's demand for the establishment of OTC bond market was mainly from three aspects:
 - (1) the central bank had to carry out the transition from direct monetary policy to indirect monetary policy, and the lack of mature OTC bond market restricted the indirect regulation system. In 1996, the People's Bank of China started the open market operation of bonds, but it stopped in early 1997 due to the lack of support from China's OTC bond market.
 - (2) the government wanted to implement a proactive fiscal policy, and only the OTC bond market, which is dominated by institutions, can support the large-scale issuance of government bonds.
 - (3) commercial banks need to solve the interbank financing problem through the bond repurchase market, and need to increase the proportion of bond assets to improve asset structure, which must be based on the OTC bond market.
- **In 1997, China's interbank bond market was founded.**
- From 2002, China's unified and multi-level interest rate market system dominated by the interbank market was basically formed.

Development of China's bond trading market

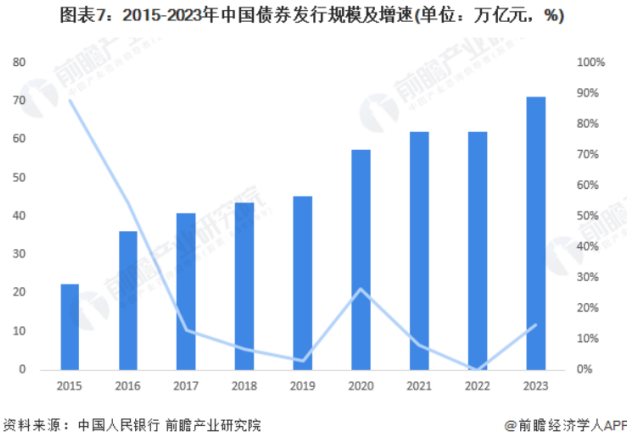
- At present, China's bond circulation market consists of three parts
 - the interbank trading market
 - the Shanghai and Shenzhen stock exchanges market
 - the commercial bank over-the-counter trading market

The scale of bond issuance in China



The scale of bond issuance in China

- From 2015 to 2023, the scale of bond issuance in China as a whole showed a growth trend, rising from 22.30 trillion yuan in 2015 to 71 trillion yuan in 2023.



Issuance volume of different type of bonds

- In 2023, the bond market issued various types of bonds totaling 70.83 trillion yuan throughout the year. This is 9.38 trillion yuan more than the previous year, representing a year-on-year growth of 15%.
- government bonds were issued at 20.42 trillion yuan, financial bonds at 36.44 trillion yuan, and corporate credit - type bonds at 13.82 trillion yuan.

Bond Types	Volume in 2023 (100 million yuan)	Proportion (%)	Volume in 2022 (100 million yuan)	Proportion (%)
Government Bonds	204,210	28.8	170,719	27.8
Book-entry Treasury Bonds	108,210	15.3	94,623	15.4
Local Government Bonds	93,254	13.2	73,556	12
Financial Bonds	364,417	51.5	306,195	49.8
CDB and Policy-related Financial Bonds	58,760	8.3	58,433	9.5
Credit - asset-backed Securities	3,485	0.5	3,345	0.5
Inter-bank Certificates of Deposit	257,815	36.4	205,120	33.4
Commercial Bank Bonds	24,258	3.4	23,586	3.8
Corporate Credit-type Bonds	138,202	19.5	136,721	22.3
Debt Financing Instruments	86,974	12.3	91,335	14.9
Enterprise Bonds	3,808	0.5	6,191	1
Corporate Bonds	36,458	5.1	28,209	4.6
Convertible and Exchangeable Bonds	1,665	0.2	1,529	0.2
Foreign Bonds	1,430	0.2	825	0.1
Total	708,259	100	614,469	100

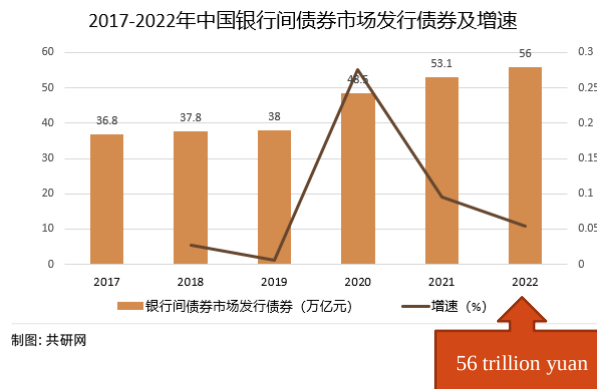
Interbank bond market

- Interbank market consists of interbank lending market, bill market and bond market.
- Interbank market is **limited to various institutional investors** including commercial banks, rural credit unions, insurance companies, securities companies, trust and investment companies and other financial institutions.
- Interbank market is an over-the-counter **wholesale market**.
- Interbank market carries out **bilateral negotiations**. The typical settlement method is transaction by transaction.
- Interbank market **has the most types of transactions**, including cash bond trading, pledged repo, buyout repo, forward transaction, swap, forward interest rate agreement, credit risk mitigation tools, etc. Government bonds, enterprise bonds, financial bonds and short term financing instruments.

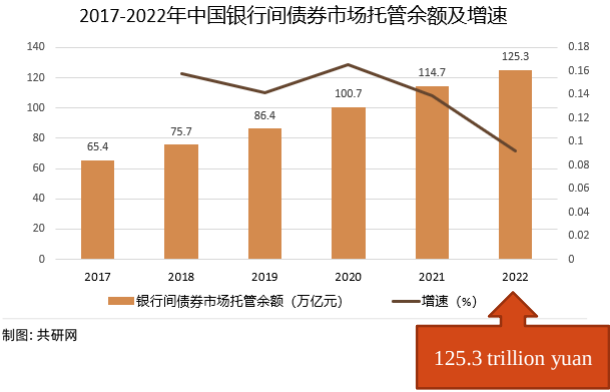
Interbank bond market structure

- Interbank market relies on the National interbank Lending Center (the "Interbank Center"), the Central Government Bond Depository and Clearing Corporation (the "Central Depository Corporation"), the Shanghai Clearing House.
- The Foreign Exchange Trade Center System is used as the front quotation system, and the Central Clearing Company is used as the background custodian settlement system. 中央国债登记结算有限责任公司 (Central Clearing Company, 简称中债登)
 - The Central Clearing Company opens securities accounts for investors in the interbank market and implements primary custody.
 - The Central Clearing Company also provides services for the settlement of transactions in the market.

Annual issuance of bonds in interbank

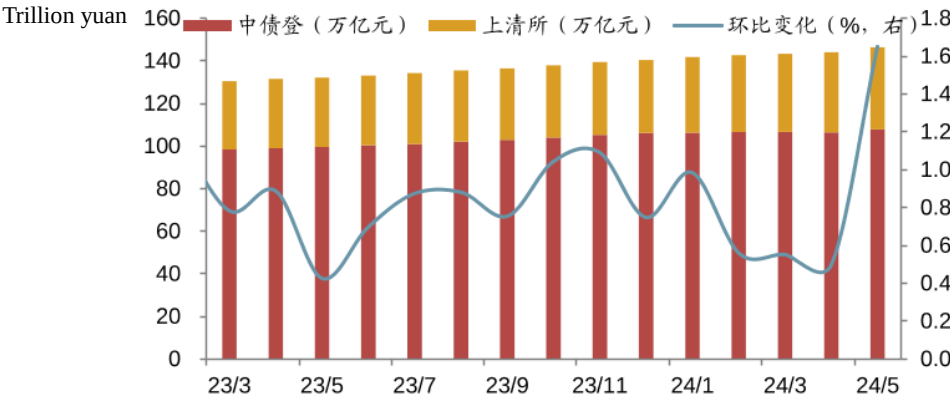


Annual balance of bonds in interbank



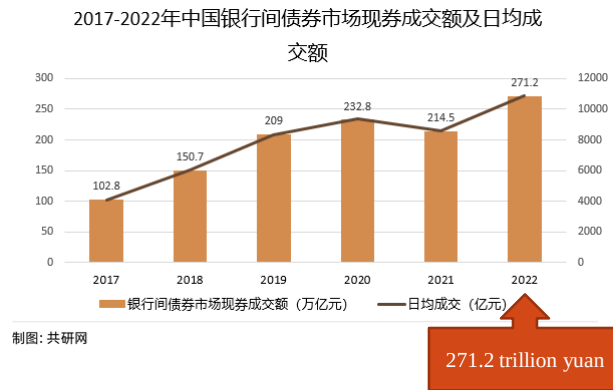
Annual balance of bonds in interbank

图4.银行间市场债券托管总量



数据来源: 中债登, 上清所, 财通证券研究所

Annual trading vol. of bonds in interbank



Exchange-traded bond market

- The exchange market is a floor market dominated by non-bank financial institutions and individuals. Commercial banks cannot participate.
 - The exchange market includes the Shanghai Stock Exchange, the Shenzhen Stock Exchange, the Beijing Stock Exchange. It adopts a method of continuous bidding, and the custody and settlement of bonds are in the China Securities Depository and Clearing Corporation.
 - Currently the main instruments in circulation in the exchange bond market are book-keeping Treasury bonds, corporate bonds, convertible bonds and other types of bonds that can be listed.
 - The exchange market also carries out bond repurchase and futures trading.

Exchange-traded bond market

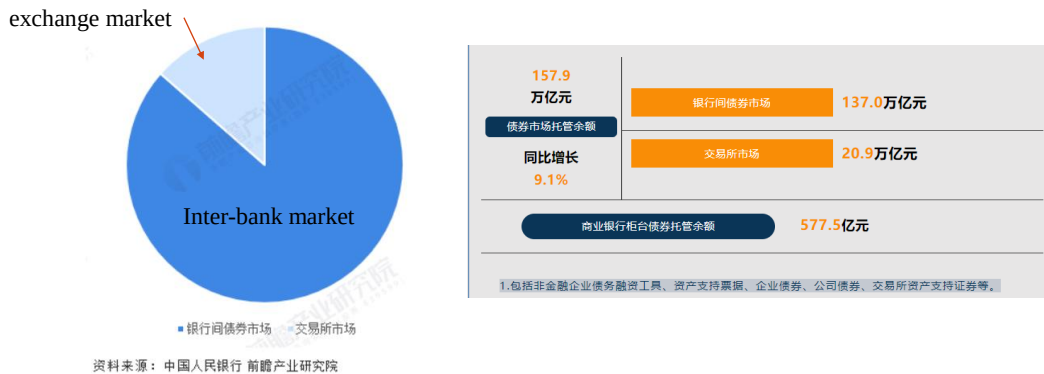
- In China, from 1993 to June 1997, the T-bonds trading was mainly carried out in Shanghai and Shenzhen stock exchanges.
- After the establishment of the interbank market in 1997, banks could not enter the exchange market, the interbank bond market became the dominant market in bond markets.
- The transaction volume of bonds in exchange market in 2022 was 38.1 Trillion yuan, accounting for only about 14% of the interbank market (271.2 Trillion yuan cash bond trading).

Exchange-traded bond market

Bond Types	Number in September 2024	Scale in September 2024 (100 million)	Number from January to September 2024	Scale from January to September 2024 (100 million)	Month - on - month change in number (September)	Month - on - month change in scale (September)	Year - on - year change in number (September)	Year - on - year change in scale (September)	Year - to - date cumulative year - on - year change in number	Year - to - date cumulative year - on - year change in scale
Enterprise Bonds	4	29	66	486.17	33.33%	40.78%	-77.78%	-74.96%	-73.71%	-73.84%
Public Offering Corporate Bonds	129	1406.5	1174	12811.73	-23.67%	-19.80%	24.04%	29.55%	14.31%	16.63%
Private Placement Corporate Bonds	248	1660.9	2288	16214.57	7.83%	1.47%	-27.70%	-29.27%	-17.40%	-14.34%
Convertible Bonds	0	0	29	236.34	-100.00%	-100.00%	-100.00%	-100.00%	-74.34%	-80.84%
Exchangeable Bonds	0	0	11	274.9	-100.00%	-100.00%	-100.00%	-100.00%	-45.00%	4.86%
Total	381	3096.4	3568	30023.71	-7.52%	-12.57%	-19.96%	-14.49%	-14.66%	-9.75%

The structure of bond issuance in China

- In 2023, in China's bond market,
 - 61.4 trillion yuan worth of bonds were issued in the inter-bank bond market, accounting for 86%.
 - 9.6 trillion yuan worth of bonds were issued in the exchange market, with a proportion of 14%.



Over-the-counter market

- Over-the-counter market refers to the behavior that banks or securities companies conduct bond trading, and handle related custody and settlement business.
- ✓ Bond circulation market in developed countries is mainly based on the counter market.
- In the over-the-counter market, securities trading institutions are both the organizer and participant of the transaction.
 - The counter market of banks can only trade part of the government bonds.
 - The counter market of securities companies conducts non-public offering of corporate transactions and provides services such as issuance, trading, registration and depository of various financial products, private placement bonds and other derivative financial instruments.

Bank Counter Market

- In China, over-the-counter Treasury bond trading mainly refers to over-the-counter book-keeping Treasury bond trading. Book-keeping Treasury bonds can be traded at any time, with strong liquidity and high yield.
- **This business was officially launched on June 3, 2002.**
- In 2004, this business was promoted in the branches of the big four state-owned commercial banks around the country.
- In the counter Treasury bond market, the main investors are individual investors, enterprises and public institutions.
- By the end of 2022, the custody volume of bonds in the bank counter market reached 41.6 billion yuan. (0.03% of the total custody volume of bonds 144.8 trillion yuan.)

Outstanding Balance of different bonds

- By the end of 2023, the outstanding balance of the bond market is 157.68 trillion yuan, with a growth rate of 9.1%.
 - The outstanding balance of the inter-bank and OTC market is about 140.06 trillion yuan, accounting for about 88.8% of the whole market;
 - The outstanding balance of the exchange market is about 17.62 trillion yuan, accounting for about 11.2% of the whole market.

Bond Types	Whole Market	Inter-bank, OTC and Other Markets	Exchange Market
Government Bonds	702,779	677,639	25,141
Book - entry Treasury Bonds	286,199	276,125	10,074
Local Government Bonds	405,668	390,601	15,067
Central Bank Bills	150	150	0
Financial Bonds	550,899	543,853	7,046
Policy - based Financial Bonds	243,021	241,894	1,127
Credit - asset - backed Securities	17,561	17,561	0
Inter - bank Certificates of Deposit	147,807	147,807	0
Commercial Bank Bonds	95,076	95,076	0
Corporate Credit Bonds	320,931	176,946	143,985
Debt Financing Instruments	146,235	146,235	0
Enterprise Bonds	41,142	30,711	10,431
Corporate Bonds	109,323	0	109,323
Exchange - traded Asset - backed Securities (ABS)	17,102	0	17,102
Convertible Bonds and Exchangeable Bonds	7,129	0	7,129
Foreign Bonds	2,004	2,004	0
Total	1,576,763	1,400,592	176,172

Segmentation of bond trading markets

- The transaction segmentation of bond products in China is relatively serious at present.
 - The bonds approved by the People's Bank of China, the China Banking Regulatory Commission can only be listed and traded in the interbank market.
 - The bonds approved by the CSRC can only be listed and traded on the Shanghai and Shenzhen stock exchanges.
 - Government bonds issued by the Ministry of Finance and local government can be listed and traded in the interbank market and the exchange market. Part of T-bonds can also be listed and traded over the counter of commercial banks.
 - Enterprise bonds approved by the National Development and Reform Commission can be listed and traded in the interbank market and the exchanges.
 - Insurance company bonds approved by the CIRC may be listed and traded in the Shanghai Stock Exchange.

Segmentation of bond trading markets

- Because of the serious bond product trading segmentation, China's bond investors segmentation is also very obvious.
 - Listed commercial banks, non-bank financial institutions and some non-financial institutions can participate in the exchange market and the interbank market;
 - Special institutions, commercial banks and credit cooperatives can only participate in the interbank market.
 - Some non-financial institutions and individual investors can only participate in the exchanges and commercial bank counter market.

Segmentation of bond trading markets

- China's bond registration, custody, clearing and settlement are also segmented.
 - For the bonds approved by the People's Bank of China, China Banking Regulatory Commission and other authorities, all the issuers entrust the **China Central Depository & Clearing Corporation** (CCDC) and the Shanghai Clearing House (SCH) for registration, custody, clearing and settlement.
 - For the bonds approved by the CSRC, all the issuers shall entrust **the China Securities Depository and Clearing Company** (CSDC) for register, custody, clearing and settlement
 - For the enterprise bonds approved by the National Development and Reform Commission and the local bonds issued by the Ministry of Finance on behalf of the local government may entrust the **CCDC and/or CSDC** for registration, custody, clearing and settlement. If CCDC and CSDC are selected at the same time, the investor can conduct cross-market transactions;
 - The government bonds issued by the Ministry of Finance shall be centrally registered, managed, cleared and settled by the **CCDC**. The CSDC and the pilot counter of commercial banks shall, as sub-custodian and secondary custodian respectively, hold custody of the investors in the exchange market and the counter system.

Bond market regulators in China

- Bond issuance supervision:
 - medium-term notes, they should register with the dealers association under the supervision of PBOC.
 - enterprise bonds, they should be approved by the CSRC. (Before 2023, it was National Development and Reform Commission.)
 - corporate bonds, they should be approved by the CSRC.
- Bond listing and information disclosure supervision:
 - the exchange market, corresponding competent authorities is the CSRC
 - the interbank market, corresponding competent authorities is the PBOC
 - over-the-counter market of commercial banks, supervised by the CBRC (CBIRC after 2018, now NFRA).
- Supervision of clearing, settlement and custody of bonds:
 - the China Securities Depository and Clearing Co., corresponding competent authority is the CSRC
 - the Shanghai Clearing House, corresponding competent authority is the PBOC
 - the Central Depository & Clearing Co., corresponding competent authority is the Ministry of Finance.

The supervision system of bond issuance

- National Development and Reform Commission:
 - enterprise bonds (Before April 23,2023)
 - small and medium-sized enterprise aggregate bonds, project income bonds, special bonds, small and micro enterprise credit aggregate bonds, venture capital enterprise bonds and other innovative varieties.
- CSRC:
 - corporate bonds, convertible bonds and exchangeable bonds.
 - enterprise bonds (After April 23,2023)
- People's Bank of China:
 - financial bonds.
- Ministry of Finance:
 - national bonds, local government bonds, local special bonds.
- National Association of Interbank Dealers (supervised by PBOC):
 - medium-term notes, short-term financing bonds, collective notes of small and medium-sized enterprises, private directed financing instruments, asset-backed notes, ultra-short-term financing bonds, etc.
- Shanghai and Shenzhen Stock Exchanges:
 - private debt

Problems in China's bond market

- (1)the management system is fragmented and the supervision is inefficient
 - Take corporate bonds as an example, bonds issued by the same company have different attributes in different audit institutions and circulation places. Also apply multiple laws and regulations, easy to produce regulatory blind spots, is not conducive to risk control.
- (2)lack of unified standards
 - There are four categories and five varieties of corporate bonds in China's corporate bond market, including enterprise bonds, corporate bonds, private placement bonds, medium-term notes and short-term financing bonds. Among these four types of corporate bonds, there is no substantial difference in other aspects and the subjects of bond issuance are highly overlapping. However, since these four types of bonds belong to different examination and approval agencies, the coexistence of standards has brought institutional obstacles to the implementation of unified regulatory measures in China.
- (3)inefficient secondary market from segmentation
 - Both the interbank market and the exchange market have their own advantages, which is not conducive to improving the overall competitiveness of China's bond market. At the same time, in the state of market segmentation, bond investors, capital and cash bonds are restricted to operate in two independent areas, can not flow freely, often appear different prices with the same bond.
- (4)commercial banks widely monopolize bonds and restrict the development of the bond market
 - Due to the high savings in China, commercial banks have become the absolute investors in the bond market. At present, the proportion of bonds held by commercial banks has exceeded 70% of the stock. The structure of bond investors has become single, and the sustainability of the bond market development is worrisome.
- (5)market-oriented risk management mechanism has not been established
 - 1) the market rule system is still not strong, the creditor protection and bankruptcy system has not accumulated effective experience, the creditor's rights trustee system is not ideal.
 - 2) the structure of market products is not reasonable. The bond products are still dominated by government bonds, and enterprise credit bonds only account for about 23%.
 - 3) the construction of the credit system is insufficient. Credit rating agencies are seriously disturbed by the outside world, which affects the fairness of rating to a certain extent.
 - 4) products lack an effective credit basis. In recent years, short-term credit bonds have been unable to be paid when due, and default risks have begun to appear.

China's Bond Market Development Trends

- 1. Unified supervision of the bond market
- 2. Breaking rigid payment, and default will become the "new normal of the market"
- 3. "Green bonds" will become a fashionable brand in the bond market
- 4. Panda bond is one of the propellers for the internationalization of RMB
- 5. The dominance of the OTC market is difficult to shake
- 6. Urban investment bonds still have a large space for development
- 7. Stock bond combined products will be a rich mining area in the next 3-5 years
- 8. Asset-backed fixed income products will bring about a new peak in growth
- 9. Junk bonds will be gradually accepted and vigorously developed